

planning report GLA/4407/02

10 February 2020

49-53 Glengall Road

in the London Borough of Southwark

planning application no. 17/AP/4612

Strategic planning application stage II referral

Town & Country Planning Act 1990 (as amended); Greater London Authority Acts 1999 and 2007; Town & Country Planning (Mayor of London) Order 2008.

The proposal

Demolition of existing buildings and erection of a part 6, 8 and 15-storey building to provide 3,716 sq.m. of flexible workspace (B1c, and B2/B8), 181 residential dwellings, with associated access and highway works, amenity areas, cycle, disabled and commercial car parking and refuse/recycling stores.

The applicant

The applicant is **Twenty Twenty Glengall Limited** and the architect is **HKR Architects**.

Key dates

- **Pre-application meeting:** 10 October 2017
- **Stage 1 report:** 19 March 2018
- **Committee meeting:** 15 January 2019

Strategic issues summary

Principle of development: Given the co-ordinated approach to the managed release of industrial land and the type of industrial floorspace proposed, the principle of development is now acceptable in strategic planning terms (paragraphs 8-12).

Affordable housing: 35% by habitable room (without subsidy), with a tenure split of 72% social rent and 28% intermediate as London Living Rent and/or shared ownership. Early and late stage reviews have been secured via legal obligation as required, as the scheme does not qualify for the Fast Track Route (paragraphs 13-15).

Urban design, climate change and transport: The issues raised at Stage 1 have been satisfactorily addressed either by way of additional information and/or secured through conditions or legal obligations (paragraphs 16-21).

The Council's decision

In this instance, Southwark Council has resolved to grant permission subject to conditions and a S106 legal agreement.

Recommendation

That Southwark Council be advised that the Mayor is content for it to determine the case itself, subject to any action that the Secretary of State may take and does not therefore wish to direct refusal or direct that he is to be the local planning authority.

Context

1 On 14 March 2018, the Mayor of London received documents from Southwark Council notifying him of a planning application of potential strategic importance to develop the above site for the above uses. This was referred under Categories 1A, 1B, 1C and 3E of the Schedule to the 2008 Order:

- *1(A) 'Development which comprises or includes provision of more than 150 houses, flats or houses and flats'*
- *1B(c) 'Development (other than development which only comprises the provision of houses, flats or houses and flats) which comprises or includes the erection of a building or buildings outside Central London and with a total floorspace of 15,000 square metres'*
- *1C(c) 'Development which comprises or includes the erection of a building of more than 30 metres high and is outside of the City of London'*
- *3E 'Development which does not accord with one or more provisions of the development plan in force in the area in which the application site is situated; comprising more than 2,500 square metres of floorspace for a specific Use Class.'*

2 On 16 April 2018, the Mayor considered planning report GLA/4379/01, and subsequently advised Southwark Council that the application did not comply with the London Plan and draft London Plan, for the reasons set out in paragraph 51 of the above-mentioned report.

3 A copy of the above-mentioned report is attached. The essentials of the case regarding the proposal, the site, case history, strategic planning issues and relevant policies and guidance are as set out therein, unless otherwise stated in this report. On 4 December 2018, Southwark Council resolved to grant permission subject to conditions and a S106 legal agreement, and on 28 January 2020 it advised the Mayor of this decision. Under the provisions of Article 5 of the Town & Country Planning (Mayor of London) Order 2008 the Mayor may allow the draft decision to proceed unchanged, direct Southwark Council under Article 6 to refuse the application or issue a direction to Southwark Council under Article 7 that he is to act as the Local Planning Authority for the purposes of determining the application. The Mayor has until 10 February 2020 to notify Southwark Council of his decision and to issue any direction.

4 The decision on this case, and the reasons will be made available on the GLA's website www.london.gov.uk.

Consultation stage issues summary

5 At the consultation stage, Southwark Council was advised that the application did not fully comply with the London Plan and draft London Plan, for the reasons given below:

- **Principle of development:** the inclusion of residential units on this protected industrial site in the Old Kent Road Opportunity Area is not currently supported, in line with London Plan Policies 2.17 and 4.4 and draft London

Plan Policy E6. The balance of uses proposed does not accord with London Plan Policy 4.4 and Policy E7 of the draft London Plan and should the site be considered suitable for mixed-use development; the applicant must increase industrial floorspace to address the requirements of draft London Plan Policy E7 and the draft Old Kent Road Area Action Plan.

- **Affordable housing:** 35% by habitable room with a 68:32 split in favour of affordable rent. This does not meet the 50% threshold for industrial land under the Fast Track Route set out in the draft London Plan Policy H6. GLA officers will robustly interrogate the applicant's viability assessment to ensure the maximum level of affordable housing is delivered. The applicant must investigate the use of grant funding to increase provision further. Early implementation and late stage review mechanisms must be secured. Should the applicant deliver 50% affordable housing the late stage review mechanism will be negated.
- **Design:** Daylight/sunlight issues on residential units to be addressed and agent of change principles demonstrated. Further discussion required on massing and layout in relation to the linear park and the retained chimney.
- **Climate change:** The applicant must provide the carbon emission figure in tonnes per annum for each stage of the energy hierarchy for domestic and non-domestic elements separately as well as for the site-wide development as well as evidence of how London Plan Policy 5.9 and draft London Plan Policy SI4 has been assessed demonstrating how the risk of overheating and cooling demand will be minimised for each building type.
- **Transport:** There are major concerns about the capacity of the local public transport network to accommodate the additional travel generated by developments in the Old Kent Road Opportunity Area such as this in advance of the Bakerloo Line Extension and any significant pre-BLE planning permissions must secure appropriate contributions towards improvements to bus services and secure active travel measures. Further information is required on pedestrian and cycle assessments, cycle and blue badge parking, servicing and travel plan. Conditions and Section 106 obligations are required to secure the following; public transport contribution; healthy streets contribution; exclusion of future occupiers from obtaining parking permits within the local CPZ; travel plan; delivery and servicing plan; and construction and logistics plan.

Strategic planning policy and guidance update

- 6 The following draft policy and guidance are now material considerations:
- the National Planning Policy Framework and National Planning Practice Guidance (2019);
 - the London Plan – Intend to publish version (December 2019), which should be considered on the basis explained in the NPPF;
 - New Southwark Plan Proposed Submission Version: Amended Policies 2019, which should be considered on the basis explained in the NPPF; and
 - letter from the leader of Southwark Council to Jules Pipe, Deputy Mayor for Planning, Skills and Regeneration dated 02/09/18.

Update

7 Since the Stage 1, GLA and TfL officers have engaged in discussion with the applicant and the Council to address the outstanding issues, including the release of industrial land within the Old Kent Road Opportunity Area. The scheme has also been amended to optimise the use of the site in relation to design and materials of the buildings' elevations; improve internal layouts; introduce a revised internal commercial corridor to provide visual link to Latona Yard; and, Latona Yard improvements. In addition, various planning conditions and legal obligations are secured as part of Southwark Council's draft decision and draft s106 agreement. Having regard to this, an assessment against the strategic issues raised at the consultation stage is set out below.

Principle of development

8 Given the designation of the site as Strategic Industrial Land, the inclusion of residential use was not supported at the Stage 1 consultation. Additionally, if redevelopment of the site to provide a mix of uses was considered acceptable, the re-provision of genuine industrial floorspace in line with Policy E7 of the Mayor's intend to publish London Plan was required.

9 The BLE programme and the location of its potential tube stations is subject to ongoing discussions between Southwark Council and TfL, as is the quantum of development the area could sustainably support in advance of the BLE, what additional transport measures would be needed in the interim, and how new development can fairly contribute towards these costs. GLA officers accept that the application site is within an area identified as suitable to come forward for high density redevelopment in advance of the BLE.

10 Regarding the introduction of residential uses on SIL, London Plan Policy 2.17 requires boroughs to promote, manage and where appropriate protect strategic industrial land, and London Plan Policy 4.4 commits the Mayor to work with boroughs to adopt a rigorous approach to industrial land management, to ensure a sufficient stock of industrial land and premises is retained, and to plan, monitor and manage the release of surplus industrial land where it can contribute to strategic and local planning objectives, especially the provision of new housing. Policy E5 of the Mayor's intend to publish London Plan confirms that non SIL uses within SIL should be refused unless there has been a strategically co-ordinated process of SIL consolidation carried out through a planning framework or Development Plan document review process (and adopted as policy in a Development Plan), or as part of a co-ordinated master planning process in collaboration with the GLA.

11 GLA and TfL officers have worked closely with Southwark Council officers to reach agreement on the broad geography and phasing of strategic industrial land release - which includes this site - and consolidation development in the area covered by the Old Kent Road Action Area Plan (OKR AAP). Southwark Council has also committed to a retention and relocation strategy for existing industrial businesses within the OKR Opportunity Area and has confirmed both its commitment to intensifying industrial uses on existing and new SIL sites, and to purchasing additional land to deliver these objectives. Considering these processes and commitments, GLA officers accept that the application site is suitable in principle for transfer from SIL to LSIS – as proposed within the draft Southwark Local Plan and the draft AAP.

12 The quantum of commercial floorspace has been reduced from the 3,855 sq.m. proposed at Stage I. The scheme is now proposing 3,716 sq.m. of B1c and B2/B8 industrial floorspace, which is 156 sq.m. more than the minimum requirement of 3,560 sq.m. recommended by GLA officers at the initial consultation. Approximately 1,490 sq.m. of this provision would be located at the mezzanine level for B1c uses and the remaining industrial space would be allocated for B2/B8 use on the ground floor. However, since the Stage 1 report Policy E4 of the Mayor's intend to publish London Plan has been amended to exclude mezzanine level floorspace from calculations of industrial floorspace capacity. There would therefore be a net loss of industrial capacity. Notwithstanding this loss, given the high demand for B2/B8 across London and the introduction of this type of floorspace (with double height floors) and the Council's commitment to intensifying industrial uses across the Opportunity Area on balance, the proposed quantum of industrial floorspace at ground floor is acceptable.

Affordable housing

13 The scheme would provide 181 new residential units as follows:

tenure	studio	1Bed	2Bed	3Bed	total/u	total/hr	hr %
private	6	46	45	23	120	327	65%
shared ownership		10	9	2	21	53	35%
social rent		7	22	11	40	124	
total	6	63	76	36	181	504	100%

14 Of the 181 units proposed, 35% are to be provided as affordable housing by habitable room at a 70%:30% ratio in favour of social rent. This affordable tenure mix accords with strategic and local policy and is acceptable. The proposed social rent homes are being provided at Southwark Social Rent to meet the requirements of the emerging New Southwark Plan. Regarding the intermediate units, these are to be provided as Shared Ownership, London Living Rent and Intermediate Rent and made available to households on average total gross household annual incomes that are in line with the requirements of the Mayor's intend to publish London Plan, the Mayor's Affordable Housing and Viability SPG and the London Plan Annual Monitoring Report. The above affordability and eligibility are being secured in the Section 106.

15 Given the net loss in industrial capacity outlined in paragraph 12 above, the scheme does not qualify for the Fast Track Route. As such, early and late stage reviews have been secured in the draft Section 106 agreement and the viability assessment has been published to ensure transparency. The outstanding matters relating to affordable housing have been satisfactorily addressed.

Urban design

16 At Stage I, concerns were raised about the level of daylight penetration into main living spaces of the units on the northern frontage of the lower block. and massing and layout. The applicant also needed to demonstrate that the agent of change principles set out in Policy D13 of the Mayor's intend to publish London Plan were incorporated into the overall design of the scheme. In relation to daylight/sunlight, the Average Daylight Factor (ADF) analysis demonstrates that most of the units (including main living spaces of the units on the northern frontage of the lower block) would receive

levels of daylight that accord with BRE standards. To address the concerns raised at Stage 1 in relation to the agent of change principles, an environmental noise assessment was carried out to determine the suitability of the site for residential use given the existing industrial uses in proximity of the site. This assessment recommends that achieving appropriate internal noise levels should lessen the prospect of noise complaints against the existing industrial occupiers. In response, the Council has secured via planning condition adequate sound proofing within the new dwellings that would limit the potential for noise complaints against existing and future commercial occupiers. In view of the above, GLA officers consider that the outstanding matters raised at the initial consultation in relation to design have been satisfactorily addressed.

Climate change

17 The provision of separate carbon emission figures for each stage of the energy hierarchy for the domestic and non-domestic elements was requested at the initial consultation. Evidence demonstrating how the risk of overheating and cooling demand would be minimised for each building type was also sought at the Stage 1. The Council has secured, through planning condition, the delivery of the energy efficiency measures, photovoltaic panels and CHP plant as proposed and has also secured a contribution of £245,028 to the carbon off-set green fund. The proposal is therefore acceptable in accordance with the London Plan and the Mayor's intend to publish London Plan.

Transport

18 As set out in the principle of development section above, the scheme forms part of phase one development along the Old Kent road which is to take place prior to the delivery of the Bakerloo Line Extension. Development within phase one can only come forward subject to improvements to the local bus network. A Section 106 obligation of £2,700 per unit has been secured to deliver improvements to the local bus network.

19 The proposed provision of Blue Badge car parking spaces falls short of the requirements of the London Plan and the Mayor's intend to publish London Plan. However, in view of the site's constraints and the nature of the proposal i.e. the co-location of residential with industrial uses, on balance, this provision is acceptable. The provision of electric vehicle charging points has been secured via planning condition as recommended at the initial consultation.

20 The application did not meet the London Plan and the Mayor's intend to publish London Plan cycle standards at Stage I. The design of the proposal has undergone amendments (which include changes to the internal layout) since the initial consultation but is still not fully policy compliant. To ensure that the quantum and design of cycle parking is acceptable in line with relevant policy, the Council has secured the submission of detailed drawings for cycle storage prior to any above grade work by planning condition. The Council has indicated that a contribution to Healthy Streets is included in the CIL payment. A delivery & servicing plan and a construction traffic management plan have been secured by planning condition as requested at Stage I.

21 On balance, the outstanding matters relating to transport have been adequately resolved.

Response to consultation

22 The application was advertised by site notice on 30 January 2018 and letters were sent to neighbouring properties on the same day. It was advertised by press notice on 1 February 2018. A re-consultation exercise was conducted in June 2018. In both instances over 450 letters were sent to neighbouring properties. Southwark Council has received 26 responses, comprising 24 objections to the proposal and 2 letters of support.

23 The representations received by Southwark Council regarding the application have been set out in detail in the Councils' planning committee report and full copies of the individual representations have been made available to the Mayor as part of the statutory referral process.

24 The mixed-use nature of the scheme and the height were comments advanced in support of the proposal. The key objections raised during the consultations, including those from Southwark Law Centre, Walworth Society and Friends of Burgess Park / Glengall Wharf Garden, are summarised below:

- loss of industrial land;
- 50% affordable housing is required;
- unaffordable housing;
- undersized units;
- too tall and poorly designed;
- density;
- does not contribute to the delivery of the linear park;
- inadequate industrial floorspace;
- existing buildings should be retained;
- loss of light, amenity and views;
- negative impact on transport and other local services;
- lack of green infrastructure;
- impact on local view from Nunhead;
- poor PTAL;
- loss of historic buildings and impact on conservation area; and,
- lack of community benefits.

Responses from statutory and additional consultees

- **Environment Agency:** No objection subject to conditions relating to piling, infiltration of surface water drainage and remediation in the event of unexpected contamination during groundworks.
- **Historic England:** Opines that the proposal would cause harm to the setting of the St. Paul's Cathedral in the locally protected borough view (Nunhead Cemetery towards St Paul's Cathedral) and some harm to the setting of the Cobourg Road Conservation Area and its component listed buildings. Recommends that the Council addresses advice set out in its consultation response and determines the application in accordance with local and national planning policy.
- **Natural England:** No comment.
- **London Underground Limited:** No comment.

- **London Fire and Emergency Planning Authority:** No objection, subject to an undertaking by the applicant that access to developer
- **Thames Water:** No objection, subject to conditions relating to piling and water supply water infrastructure.
- **Metropolitan Police:** No objection, subject to a condition requiring the development to achieve 'Secured by Design' accreditation.

Response to consultation conclusion

25 The issues raised have been considered in the Stage I report, the Committee report and Addendum and this report. Regarding the principle of land use, a coordinated approach to the managed release of industrial land within the Old Kent Road Opportunity Area has been employed by Southwark Council in collaboration with GLA and TfL. In addition, discussions continue between TfL and Southwark Council officers in relation to the facilitation of the BLE. Other concerns, including those raised by statutory consultees, have been adequately addressed by way of conditions and legal obligations secured by the Council.

26 In relation to heritage and the comments provided by Historic England, having regard to the statutory duty in respect of listed buildings in the Planning (Listed Buildings and Conservation Areas) Act 1990, and the relevant paragraphs in the NPPF in relation to listed buildings and conservation areas GLA officers at Stage I concluded that although the proposal would give rise to less than substantial harm to a small number of designated heritage assets the public benefits of the scheme outweighed this harm. Similarly, Southwark Council officers have determined that there would either be no harm or less than substantial harm. In coming to this conclusion, Southwark Council officers contend that the proposal would appear layered in longer views as a background to the heritage assets at an appropriate height. Southwark Council officers further conclude that any harm would be outweighed by the public benefits of the scheme, including optimal viable use.

27 On the matter of strategic views raised by Historic England and others, Policy HC3C encourages boroughs to identify and designate local views and adopt a management approach like that employed with the strategic London View Management Framework. Southwark Council officers have set out a robust analysis of the impact of the proposal on the draft borough view from Nunhead and have determined that any harm would be less than substantial and would be outweighed by the expected public benefits. GLA officers concur with the view expressed by Southwark Council officers.

28 In view of the above, GLA officers are satisfied that the statutory and non-statutory responses to the consultation do not give rise to any material planning issues that have not been considered in this report or the Stage I report.

Draft section 106 agreement

29 The draft S106 agreement includes the following provisions:

- affordable housing, comprised of 35% by habitable room (40% Social Rented and 21% Shared Ownership/London Living Rent/Intermediate Rent);
- early and late stage reviews;
- 18 wheelchair housing units;

- Latona Yard Design and Management Strategy;
- appointment of workspace co-ordinator;
- 10% affordable workspace, at £12 per sq. ft. over a 15-year period;
- affordable workspace management plan;
- employment and training, apprenticeships and local procurement;
- Section 38/278 highway works;
- delivery and servicing monitoring plan and monitoring fee;
- car club scheme;
- CPZ;
- connection to a future district heating system; and,
- the following payments: archaeology £11,171; carbon off-set £244,543.75; affordable housing monitoring £8,073; construction industry shortfall £203,400; delivery and servicing bond £18,871; public open space £11,070; and, buses (a maximum of £488,700).

Legal considerations

30 Under the arrangements set out in Article 5 of the Town and Country Planning (Mayor of London) Order 2008 the Mayor has the power under Article 6 to direct the local planning authority to refuse permission for a planning application referred to him under Article 4 of the Order. He also has the power to issue a direction under Article 7 that he is to act as the local planning authority for the purpose of determining the application and any connected application. The Mayor may also leave the decision to the local authority. In directing refusal, the Mayor must have regard to the matters set out in Article 6(2) of the Order, including the principal purposes of the Greater London Authority, the effect on health and sustainable development, national policies and international obligations, regional planning guidance, and the use of the River Thames. The Mayor may direct refusal if he considers that to grant permission would be contrary to good strategic planning in Greater London. If he decides to direct refusal, the Mayor must set out his reasons, and the local planning authority must issue these with the refusal notice. If the Mayor decides to direct that he is to be the local planning authority, he must have regard to the matters set out in Article 7(3) and set out his reasons in the direction.

31 In this instance, the Council has resolved to grant permission with conditions and a planning obligation, which satisfactorily addresses the matters raised at consultation stage, therefore there are no sound planning reasons for the Mayor to intervene in this case.

Financial considerations

32 Should the Mayor direct refusal, he would be the principal party at any subsequent appeal hearing or public inquiry. Government Planning Practice Guidance emphasises that parties usually pay their own expenses arising from an appeal.

33 Following an inquiry caused by a direction to refuse, costs may be awarded against the Mayor if he has either directed refusal unreasonably; handled a referral from a planning authority unreasonably; or behaved unreasonably during the appeal. A major factor in deciding whether the Mayor has acted unreasonably will be the extent to which he has taken account of established planning policy.

34 Should the Mayor take over the application he would be responsible for holding a representation hearing and negotiating any planning obligation. He would also be responsible for determining any reserved matters applications (unless he directs the council to do so) and determining any approval of details (unless the council agrees to do so).

Conclusion

35 The strategic issues raised at consultation stage regarding principle of development (including the re-provision of industrial capacity), affordable housing, urban design, climate change and transport have been satisfactorily addressed, and appropriate planning conditions and legal obligations have been secured. As such the application complies with the London Plan and the Mayor's intend to publish London Plan, and there are no sound reasons for the Mayor to intervene in this case.

for further information, contact the GLA Planning Team:

Debbie Jackson, Interim Head of Built Environment

020 7983 4500 email debbie.jackson@london.gov.uk

John Finlayson, Head of Development Management

020 7084 2632 email john.finlayson@london.gov.uk

Allison Flight, Deputy Head of Development Management

020 7084 2820 email alison.flight@london.gov.uk

Kate Randell, Team Leader

020 7983 4783 email kate.randell@london.gov.uk

Andrew Payne, Case Officer

020 7983 4650 email andrew.payne@london.gov.uk
